

ATTN: CANADIAN TAX FOUNDATION
FROM: David Kakon (David@ArmstrongLife.com)

Submission for the 2026 CRA Roundtable

Subject: Application of s. 237.1 to Corporate Life Insurance Arrangements Utilizing Demand Loans

Background: In past technical interpretations, the CRA has established clear parameters regarding the treatment of demand loans and tax shelters. Specifically, in 2010 Ruling 2009-0340381R3 F - Rente assurée, the CRA ruled that a demand loan constitutes a limited-recourse amount under subsection 143.2(1). Additionally, during the 6 October 2006 Roundtable, 2006-0196251C6 F, the CRA stated that a demand loan could be considered a limited-recourse amount under subsection 143.2(7) if no bona fide written arrangements exist for repayment within a reasonable period not exceeding 10 years.

In the 2010 ruling, the CRA determined that the insured annuity arrangement in question was not a tax shelter solely because the represented deductions within the first four years did not equal or exceed the net cost of the arrangement.

Question for the Directorate: Consider a scenario where a corporate taxpayer acquires an exempt life insurance policy and concurrently obtains a third-party loan with the policy as security, as part of an integrated insurance financing arrangement. This debt is structured as a commercial demand loan where the lender retains the unrestricted right to demand full repayment at any time, and there is no bona fide written arrangement for repayment within 10 years. The proceeds of this loan are explicitly used to replenish capital for the purpose of earning income from a business or property.

Assume for the purposes of this question that, because of the absence of a 10-year repayment schedule, the loan is factually determined to be a limited-recourse amount under subsection 143.2(7), thereby reducing the recognized net cost of the arrangement to nil.

Under this stipulated premise, if the statements or representations made or proposed to be made in connection with the arrangement demonstrate that the projected tax deductions (e.g., s. 20(1)(c) interest and s. 20(1)(e.2) collateral insurance deductions) within the first four years will equal or exceed this reduced net cost, will the CRA confirm that this integrated structure meets the statutory definition of a "tax shelter" under subsection 237.1(1)?

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